



What Anil SAYS

- RIL contracted to supply 28 mmscmd of gas for 17 years at \$2.34 mmBtu for his power plants. It is deliberately citing Government policies on pricing and allocation to deny us gas. We don't want gas now but need a bankable agreement.

What Mukesh SAYS

- RIL cannot contravene Government's pricing and utilisation policy; it will affect other contracts. If RIL sells gas at \$2.34 instead of valuation price of \$4.2 per mmBtu, the Government will lose Rs 20,000 crore in net present value terms.

ANIL AMBANI
(LEFT) AND
MUKESH AMBANI

CAL POWER, WEALTH OF Rs 50,000 CRORE AND THE OBSESSION TO BE THE BIGGEST.

of now the battle is being played out in the corridors of South and North Block on Raisina Hill, in the bhavans of Delhi. On August 4, Mukesh flew into Delhi in his Airbus corporate jet around noon and got into a black S Class Mercedes. In less than eight hours, he met Law Minister Veerappa Moily, Surface Transport Minister Kamal Nath, Finance Minister and an old friend of the group Pranab Mukherjee and Petroleum Minister Murli Deora. Did he or did he not meet the prime minister before he left past midnight? Next morning Marathon Man Anil flew in his Falcon jet and did his rounds on the ground in his Honda Accord. Interestingly, Mukesh, who used to

come to Delhi on Thursdays now comes on Tuesdays while Anil makes his visit on Wednesdays. Parliament in session is fertile ground to foment trouble. Already the House has been interrupted four times; Mulayam Singh Yadav has called for the sacking of Deora and the Left MPs have written to the prime minister virtually calling for the takeover of the gas fields.

It is a battle that neither wants to lose. On the face of it, this is about a gas contract for supply of 28 mmscmd (million metric cubic metre) of gas per day by Mukesh-controlled Reliance Industries Ltd (RIL) to Anil-owned Reliance Natural Resources Ltd (RNRL) for his power plants at \$2.34 per

mmBtu for 17 years. In reality, it is about inheritance; the contract stems from the MOU which enabled splitting or demerger of the Rs 135,000 crore Dhirubhai Ambani's empire. The deal was that Mukesh would supply gas to Anil's company at \$2.34 per mmBtu (the price at which RIL bid to supply gas from the KG basin to NTPC). If Mukesh supplied gas at this price and not at \$4.20 that he is charging others, the direct loss to RIL would be over Rs 42,000 crore over 15 years.

The answer to why Mukesh is not supplying gas depends on who you ask. Mukesh says that the contract as recorded in the MOU is not the last word and that the deal was subject to price